With the MSME sector, which accounts for 50 per cent of the employment in the organised sector, being badly hit, Budget 2023 provides several incentives for it to bounce back. In cases of failure by MSMEs to execute contracts during the Covid period, the government and government undertakings will return 95 per cent of the forfeited amount relating to bid or performance security. The revamped credit guarantee scheme will take effect from April 1, 2023, through infusion of Rs 9,000 crore in the corpus. This will enable additional collateral-free guaranteed credit of Rs 2 lakh crore. Further, the cost of the credit will be reduced by about 1 per cent. These measures should help alleviate some of the key problems that have beset the sector and put it on the road to recovery. "There is still a lot of stress in the MSME sector, especially in contact-based industries," says Anil Bhardwaj, secretary general of the Federation of Indian Micro and Small & Medium Enterprises (FISME). FISME has welcomed the Rs 9,000 crore infusion to the credit guarantee fund, and the measures to ensure timely payments by buyers to MSMEs. "The budget proposes to bring relief to a large number of government MSME suppliers who were inflicted with penalties or had their bank guarantees forfeited as the world was adversely affected during Covid. Now, 95 per cent of the forfeited amount is proposed to be reimbursed," FISME said in a statement.

In what can address the problem of unemployment among youth and equip them with industry-specific skills, Budget 2023 gives a new impetus to skilling. The Pradhan Mantri Kaushal Vikas Yojana 4.0 will be launched to skill hundreds of thousands of youth within the next three years. On-job training, industry partnership and aligning courses with the needs of industry will be emphasised. The digital ecosystem for skilling will be further expanded with the launch of a unified Skill India Digital platform. This will enable demand-based formal skilling that will link with employers, including MSMEs, and facilitate access to entrepreneurship schemes. It will also cover new-age courses such as coding, Artificial Intelligence, robotics, mechatronics, Internet of Things, 3D printing, drones and soft skills. To skill youth for international opportunities, the budget proposes to establish 30 Skill India International Centres across different states. "The provisions for improving skills are equally important," says Joshi. "Without skilling, upskilling and reskilling, the various schemes announced cannot bear fruit. Overall, while there is no direct focus on jobs, there has to be a proper execution of these ideas."

EXECUTION REMAINS KEY

Joshi is right. Execution remains key. Many believe that raising capex will not be enough, it should stimulate other players in the value chain to invest and add more jobs. For every government project, there will 100-150 associated companies, mostly in the private sector, that will also need to calibrate their labour needs to the orders they get. "While a big capex has the potential to create more jobs, the question is whether companies in sectors like steel or cement require more labour. They will be equally concerned about their return on equity," says Madan Sabnavis, chief economist at the Bank of Baroda. At a time when there is overall uncertainty regarding geopolitics and global recession, companies are already in a cautious mode. Capacity utilisation in most companies has been around 70-72 per cent, and probably even lower in sectors such as FMCG. They may then be reluctant to go for expansion and add more staff.



"AN EFFECTIVE CAPEX OF Rs 13.7 LAKH CRORE WILL HAVE A MULTIPLIER EFFECT ON THE ECONOMY, CREATING JOBS AND FACILITATING PRIVATE SECTOR INVESTMENT"

—SANJIV BAJAJ
CMD, Bajaj Finserv, and President, CII

According to Ajit Ranade, vice chancellor of the Gokhale Institute of Politics and Economics in Pune, since the budget focuses on infrastructure spending, job creation will happen indirectly as more private investment is crowded in by the public infrastructure spending. "As far as direct employment is concerned, there has been a cutback on allocation to the rural employment guarantee scheme. So in that sense, it's a negative because MNREGA is a proxy for unemployment insurance in India." Moreover, capex is on projects that have a long gestation, whereas speedy implementation will be key job creation in the short term.

Amit Mitra, the former finance minister of West Bengal, says that 90 per cent of the jobs in the country are in the unorganised sector. "They contribute 40-50 per cent of the GDP. They don't have health, social security, or education." But these sections have been ignored. At a media meet in New Delhi on February 1, Congress leader P. Chidambaram asked: "Who has benefited by this budget? Certainly not the poor. Not the youth looking desperately for jobs. Not those who have been laid off."

There is also just that much the government can do in terms of capex to generate employment. Private investment has to kick in significant measure. Businesses, however, are not investing enough at the moment to build new manufacturing capacities that can provide good-quality jobs. "We have had this problem from 2011-12, where the investment ratio has been inadequate to create the jobs required," says Vyas. Net fixed asset growth, which denotes new investments, in 2022 was just 3 per cent in nominal terms year-on-year. CMIE data shows that the total value of new projects in July-September 2022 was Rs 3.26 lakh crore, lower than the Rs 4.39 lakh crore in the June quarter and Rs 8.46 lakh crore